CORRECTION: Lula's surprise win set to trigger substantial market reaction

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【メール原文】

President Luiz Inacio Lula da Silva won 51.8% of the votes in Sunday's presidential election, defying most polls and EG's forecast, a result which is ||||||||||||||||

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Lula's surprise win set to trigger substantial market reaction

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summary

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President Luiz Inacio Lula da Silva won 51.8% of the votes in Sunday's presidential election, defying most polls and EG's forecast, a result which is set to trigger a substantial market reaction
*
The bloc of parties opposed to Israeli Prime Minister Benjamin Netanyahu is favored to form the next government after the 27 October election (55% odds), most likely through an unstable minority arrangement
*
The current fracture in US-Ukraine relations under President Donald Trump is unlikely to be permanent, but it will persist through the coming winter and create substantial diplomatic hurdles for Kyiv
*
Ian Bremmer sets out his thoughts on his thoughts on what a post-G-zero would might look like in the near- and the longer term
*
Countries and sectors in this edition of the Daily Brief include the US, Brazil, China, Israel, Mexico, Russia, Ukraine, and geoeconomics.

announcements

This note has been update to include a piece on the Russia-Ukraine conflict.

the top line

Brazil—Surprise Lula victory sets up a difficult post-election outlook

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Lula won 51.8% of valid votes in a surprise upset that defied most polls and EG’s forecast. The result prompted a sharp sell-off in Brazilian assets (see chart below).

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Federal Supreme Court Justice Cristiano Zanin extended voting hours nationwide by two hours at the request of Lula's campaign. Senator Flavio Bolsonaro's campaign will contest the result. Street protests are likely, but Lula's margin of victory suggests his win was not driven by the two-hour extension of the vote.

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Lula will likely nominate a finance minister able to deliver a course correction on fiscal policy (Vice President Geraldo Alckmin is a leading candidate), but EG is downgrading Brazil's short-term trajectory to neutral owing to an adverse economic and public opinion backdrop and a likely insufficient policy adjustment.

*

Read more here and register here for our conference call today at 9:30am ET in Portuguese. Reach out to discuss: brazilresearch@eurasiagroup.net .

Israel—Opposition favored to form next government after tight election

*

The bloc of parties opposed to Netanyahu is favored to form the next government after the 27 October election (55% odds, down from 60%), with an unstable minority arrangement supported externally by Arab parties more likely (35%) than a majority government (20%).

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The anti-Netanyahu bloc would likely use its control of the Knesset to pursue major domestic priorities, including restrictions that could effectively bar Netanyahu from retaining power, a state commission of inquiry into the security failure that led to the 7 October 2023 attacks, and the conscription of ultra-Orthodox men.

*

Netanyahu has a 45% chance of holding on to power, most likely through a prolonged caretaker government lasting several months (35%), and his continued tenure would maintain the risks of major new escalations in Israel's ongoing regional conflicts.

*

Read more here . Reach out to discuss: mena@eurasiagroup.net .

Israel, Geoeconomics—options markets pricing upside Shekel risk ahead of tomorrow's elections

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Ahead of the Israel elections, currency options markets are pricing an increasing risk of a large move in the shekel (blue line); unusually, the risk is an appreciation (light blue line), likely associated with the prospect of a change from Netanyahu leadership. This risk premium is most notable for the short-term market reaction, with currency options over three to six months remaining around average levels seen since 2023.

*

Reach out to discuss: geoeconomics@eurasiagroup.net .

EG Update—Ian Bremmer on what comes after G-zero

In this week's Update, Ian sets out four post-G-zero world alternatives:

1.
US v. China: a new cold war;
2.
A tri-polar world: the US, China, plus a growing middle power alignment;
3.
Spheres of influence: decentralization of geopolitics into regions, with a subset new civilizationalism;
4.
A technopolar world: AI supercompanies become dominant actors.

Ian notes that "for now, none of these global orders appear likely or imminent. Which gives rise to a final, nearer term, point: post-Trump, we might see an evolution into..."

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A zombie US-led order.

Ian describes this as “the G-zero world with an ineffectual substitute teacher, who doesn't realize the students aren't particularly paying attention. Whether or not that's the post-Trump trajectory, it's the other potential orders we should be stress testing for the longer term.”

For Ian’s views on France, the US mid-terms and France, see this week’s EG Update .

US, Ukraine, Russia—Fracture in US-Ukraine relations will persist through winter

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Trump is in the thrall of a long-shot peace deal between Russia and Ukraine, and while the current fracture in US-Ukraine relations is unlikely to be permanent, it will persist through the coming winter and create substantial diplomatic hurdles for Kyiv.
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In the most likely scenario (60% odds), the lack of US diplomatic backing for Ukraine in negotiations and limitations on offensive strike assistance would persist. Defensive aid would resume and continue, but deliveries of additional interceptors are unlikely to restart until after the next round of Iran escalation.
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Ukraine’s best case is a repeat of the post-Alaska summit collapse in US-Russian engagement that pushed Trump toward Kyiv (30%). In the worst case, Trump would blame GOP midterm losses on the failure to reach a deal and cut all assistance to pressure Ukraine into capitulation (10%).
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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

upcoming conference calls

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26 October 9:30 ET—Brazil update (in Portuguese). Register here .
*
26 October 10:00 PM ET—Southeast Asia update. Register here .
*
26 October 10:30 PM ET—Midterm update with Kyle Kondik. Register here .

*
27 October 9:00 PM ET—MENA crisis update call. Register here .
*
28 October 9:30 AM ET—Latin America update. Register here .

eg in brief

US—Senate race still too close for comfort for Democrats: Democrats' lead in the registered-voter version of Silver Bulletin's generic-ballot average now stands at 9.2 points, the highest it's been all year, and Trump's approval rating fell further, to 36.5%. This affirms EG's view that Democrats are nearly certain to flip the House (90% odds) with a comfortable majority exceeding 20 seats. In the Senate, however, Democrats are just the moderate favorites: they lead in enough races to win a 55-seat majority, but five of those leads are smaller than two points, well within the range of a normal-sized polling error. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Mexico—Pension changes will tighten access and foreshadow broader reform: New rules for the Mexican Social Security Institute's voluntary contribution regime took effect on 22 October, capping new applicants' contributions and eliminating retroactive enrollment. The government has described the measures as temporary while the institute reviews the voluntary scheme's financial sustainability, raising the possibility of broader changes by late 2027. The administration is likely to focus on limiting long-term pension liabilities while preserving acquired rights for current beneficiaries. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Upcoming events:

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27 October: Events: Israeli parliamentary elections; Data: South Korea GDP and US Conference Board consumer confidence; Central bank decision: Chile.
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28 October: Events: UK budget; Data: India and Russia industrial production, and Russia unemployment; Central bank decisions: Canada, New Zealand, Thailand, and US.
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29 October: Events: EU-Canada Summit begins in Montreal, through 30 October; Data: US personal income, PCE price index, and GDP; Central bank decisions: Egypt, ECB, and Ukraine.
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30 October: Events: G20 Foreign Ministers' meeting begins, through 31 October; Data: Eurozone GDP and unemployment, Mexico GDP, France, Italy, and Poland CPI, and Japan and South Korea industrial production; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, with the help of Blaise Hanson, Luisa Moreira, and Marianne Moreira.

We love feedback! Send us a note at DailyBrief@eurasiagroup.net .

closing quip

“Gives with one hand and takes with nine fingers.”—Bolsonaro said of Lula’s government during the final TV Globo presidential debate on 23 October, alluding to the finger Lula lost as a young metalworker; Bolsonaro apologized on air.

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DailyBrief@eurasiagroup.net

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